

complete idiot.

I had absolutely no comprehension of the power of markets versus politics. The policy makers didn't understand that either. I think, as is often the case, policy makers don't understand that they are not in control. It's not that speculators are in control, either, but rather that fundamentals actually matter. Fundamentally, the U.K. remaining in the ERM was untenable. The U.K. was in a recession with a greatly overvalued currency. Germany needed high interest rates to constrain the high inflation of the postunification period with East Germany. Because the currencies were linked, the U.K. was also forced to maintain a high interest rate, even though its ongoing recession dictated a need for the exact opposite policy. All that Soros did was to recognize that the situation was untenable. The Bank of England's effort to support the pound was the equivalent of trying to fight gravity.

You were lucky to make your first big mistake when you didn't have any money on the line. Did that episode make an impression on you?

It made a huge impression. I learned that markets matter more than policy. You have to look at real fundamentals, not at what policy makers want to happen. The willing disbelief of people can carry on for a long time, but eventually it is overwhelmed by the market. The genius of Soros was recognizing the turning point when things change—the ability to not only know that a position was right, but that it was right *now*, and that now was the time to have a big risk on the trade.

[A long discussion ensues about the current (2011) European debt crisis. O'Shea provides a fairly pessimistic assessment of the long-term prospects for the euro.]

You are a macro trader. You see the problem. How do you play it?

I don't. That is why it's a bit of a distraction.

You don't because the timing is so uncertain?

Because no one cares. As long as no one cares about it, there is no trend. Would you be short Nasdaq in 1999? You can't be short just because you think fundamentally something is overpriced.

What can you do?